

**SECURITIES AND EXCHANGE BOARD OF INDIA
SECONDARY MARKET DEPARTMENT
Mittal Court, A Wing, Gr. Floor,
224, Nariman Point, Mumbai 400 021**

SMDRP/POLICY/CIR-28/00
July 14, 2000

To:

The President/Executive Director/
Managing Director of all the Stock Exchanges

Dear Sir,

Modified Carry Forward System

The SEBI has reconvened the Committee under the Chairmanship of Prof. J. R. Varma, Member SEBI Board to review the existing Modified Carry Forward System and to examine the introduction of Carry Forward System under Rolling Settlement. The recommendations of the Committee has been considered by the Board of SEBI in its meeting held on June 14, 2000 and accordingly some of the conditions of Modified Carry Forward System as informed by SEBI circular no. SMD/POLICY/CIR-26/97 dated October 21, 1997 stand modified as under :

- i. The overall carry forward limit has been enhanced from the existing limit of Rs.20 crores to Rs.40 crores per brokers. The margin up to the present limit of Rs.20 crores will remain at the existing prescribed level and the incremental position will attract a additional margin of 5%. Further, there will be scrips-wise broker-wise position limit, which presently will be Rs.5 crores.
- ii. The present maximum limit of 90 days for carry forward of transactions has been removed.

All other conditions would be same.

Yours faithfully,

**P K BINDLISH
DIVISION CHIEF
SECONDARY MARKET, DEPOSITORY,
RESEARCH & PUBLICATIONS DEPARTMENT
E-Mail : pkb@sebi.gov.in**